AGREEMENT BETWEEN THE GOVERNMENT OF THE REPUBLIC OF TURKEY AND THE GOVERNMENT OF THE REPUBLIC OF MOLDOVA FOR THE CONSTRUCTION OF SECOND PHASE OF THE DRINKING WATER- SUPPLY SYSTEM AND INTRA-URBAN WATER PIPELINES IN CEADIR-LUNGA

The Government of the Republic of Turkey and the Government of the Republic of Moldova (hereinafter referred to as "Parties"), on the basis of provisions of the Memorandum of Understanding between the Government of the Republic of Turkey and the Government of the Republic of Moldova on economic cooperation, signed on 19th October 2004 and ratified through the Moldavian Parliamentary Law Nr. 140-XVI dated 30 June 2005 (especially Article III, par. (1)) and the existent friendly relations between the two countries, have reached an agreement regarding the final phase of the supply of drinking water and the execution of items listed in Annexure 1 for the construction of an intraurban pipeline network (hereinafter referred to as "Water-Supply Project") to the city of Ceadir-Lunga.

ARTICLE 1- GENERAL PROVISIONS

1. Cooperation to be realized within the framework of the present Agreement will be coordinated by the Turkish International Cooperation and Development Agency (TIKA), for the Turkish party, and by the Ministry of Economy and Commerce, for the Moldavian party.

2. TIKA must consult the Ministry of Economy and Commerce regarding the works outlined in the Annexure to the Agreement.

3. Parties will not exceed the limits of the terms stipulated in the final project, except in the case of force-majeures circumstances.

4. Works within the Water-Supply Project will be executed by a Turkish company or by a Moldavian -Turkish company.

5. The Tender for the execution of works within the Water-Supply Project will be conducted in accordance with Turkish legislation.

6. The inspection of construction and assembly works within the framework of the Water-Supply Project will be executed by an inspection unit designated by TIKA, in conformity with the legislation enforced by the Republic of Moldova.

ARTICLE 2 – COMMITMENTS AND CONTRIBUTIONS OF PARTIES

1. The Commitments of Turkish Government:

a) To carry out the tender for the execution of works within the Water-Supply Project and fulfill all necessary procedures.
b) Financing of costs of works based on the most advantageous offer as resulting from the Tender and execution of a contract with successful company/companies.
c) To assign a project coordinator within the framework of the Water-Supply Project.

2. **The Commitments of Moldavian Government:**

a) To provide assistance in giving the authorization necessary to the company successful in the Tender, for the execution of the works specified in the Water-Supply Project.

b) To certify materials to be used in connection with works executed within the framework of the Water-Supply Project, and to provide the free use of machines, equipment, laboratories and other means during the execution of the duty of control.

c) The Autonomous Territorial Unit of Gaugazia (Gagauz-Yeri) will ensure appropriate working conditions for specialists assigned by the Turkish Party within the framework of the project, as well as for the company successful in the Tender.

d) Provision of work and residence permits and visas (irrespective of passport type), free of charge, to non-Moldovian, staff to be hired by the company successful in the Tender.

e) To assign a project coordinator within the framework of the Water-Supply Project and to bear related expenses.

f) To bear expenses arising from the audit, certification and acceptance of any document or project and any other unforeseen costs as required by Moldavian legislation for works to be executed within the framework of the Water-Supply Project

g) To ensure benefit from exemptions allowed by Moldavian legislation in force in relation to purchasing conducted within the country by the company successful in the Tender during the realization of the Water-Supply Project.

h) To ensure the execution of possible construction changes, transfer of electricity and telephone lines and other similar works by the respective local institutions without incurring additional expenses.

i) To take measures to allow the transfer of land or rights upon these lands which may be required for the realization of some components of the projects. Such measures are required to be taken in advance and the project execution programme must by no means be put at risk.

ARTICLE 3 – SPECIAL CONDITIONS

1. The Turkish Party reserves the right to inspect and audit the works to be executed within the framework of the Water-Supply Project at every stage and to ensure conformity with the project, specification and agreements executed in cooperation with authorized auditing bodies of the Moldavian party.

2. Local staff to be hired within the framework of the Water-Supply Project shall be employed in accordance with Moldavian legislation in force.

3. Parties shall take all the measures necessary for assuring the delivery of the facility constructed within the framework of the Project to the Ceadir-Lunga Municipality and its maintenance through the municipal enterprise "Apa-Canal". Handover of the properties as such shall be realized on conditions accepted by both parties. This property shall be considered as a grant given by Turkish party to the respective beneficiary (Ceadir-Lunga Municipality).

ARTICLE 4 – VALIDITY

1. The present Agreement shall enter into force on the date of the last written notification, through diplomatic channels, that all internal procedures necessary for its entry into force have been fulfilled.

2. Either Party can terminate this Agreement at any moment, notifying the other Party in writing, through diplomatic channels. In such a case, the present Agreement will terminate after six (6) months, unless one of the Parties withdraws its notification within this period.

3. The Agreement shall expire on the date of acceptance of the works executed within the framework of the project by the Moldavian Party.

4. Any disputes arising from the application of provisions of this Agreement shall be settled by means of bilateral consultation.

5. Disputes which cannot be solved within 6 months from their occurrences will be settled through the arbitration of authorised institutions.

6. Signed in Ankara on 7/11/2008 in duplicate in the Turkish, Moldavian and English languages, each text being equally authentic. In the case of a disagreement in the interpretation of the provisions of this agreement, the English version shall prevail.

On Behalf of the Government of the Republic of Turkey	**On Behalf of the Government of the Republic of Moldova**
Musa KULAKLIKAYA **TIKA President**	**Igor DODON** **First Deputy Prime Minister,** **Minister of Economy and Trade**

LIST OF MAIN WORKS FOR WHICH TIKA WILL CARRY OUT THE TENDER WITHIN THE CONSTRUCTION OF SECOND PHASE OF THE DRINKING WATER-SUPPLY SYSTEM AND INTRA-URBAN WATER PIPELINES IN CEADIR-LUNGA

For the streets and roads determined by the Moldovian IPRACOM Project Firm and the Republic of Moldova SUDAKON Directorate in the city of Ceadir-Lunga in the The Autonomous Territorial Unit of Gaugazia, Republic of Moldova:

1. Laying of a pipeline network.
2. Laying steel encased pipeline of varying diameters
3. Connection of pipelines of varying diameters to consumers
4. Installment of underground fire hydrant gates
5. Installment of valves of varying diameters
6. Construction of prefabricated steam-cured manholes
7. Preparation of a numeric operation plan
8. Minor Works Repairs to the Chlorine Building in B Field
9. Access roads to the wells
10. Rehabilitation of existing wells and landscaping works